The law of unintended consequences

There is black humour in the phrase ‘the law of unintended consequences’. A government intervention that is intended to have a certain outcome will very often end up yielding a very different result. Such failures happen so often that these have been elevated to the level of a humorous ‘law’. It requires extreme clarity of thought to devise policy initiatives that hit the target; all too often the actual outcomes stray far from what was desired.

A coercive agent is poorly placed at solving failures of negotiation

Why does the state fare poorly at addressing market failure? Ordinarily, freedom works well, and we have negotiations and voluntary choice by individuals all across society. The essence of market failure is the channels of influence between two persons which are not governed by negotiations and choice:

- *Market power:* One party in the negotiation has little power and experiences a loss of choice.
- *Asymmetric information:* The process of negotiation works poorly as there is a lack of information.
- *Externalities:* There are channels of influence between two parties that are not negotiated.
- *Public goods:* The individual is not given the opportunity to negotiate and choose.

Market failure is rooted in weaknesses of negotiations and choice. We think we are bringing in the state to address market failure. But the state is a coercive agent, and is ill placed at addressing a lack of negotiation.